

DECODING CUSTOMER VALUE

The Retention Playbook

\$2.65M
Promo-Dep. Revenue

43.22 %
At Risk

\$1.51M
Premium Tier Leak

Currently, **43.22%** of total brand revenue (**\$2.65M**) is heavily dependent on promotional discounting. Alarminglly, **\$1.51M** of this discounted revenue is leaking from the brand's premium Platinum and Gold tiers. The playbook below provides data-backed, targeted recommendations to transition from a *subsidised volume model* to a **highly profitable, organic retention model**.

PART 1 THE IDEAL CUSTOMER PROFILE (ICP)

THE DATA-BACKED PROFILE

Our analysis reveals that the brand's ultimate financial engine is **not** driven by Gen-Z, discount-heavy trends, or automated subscriptions. The true ICP is:

■ Demographic	Female · avg. 38.4 years old
■ Geography	Arizona · Tennessee · Montana · Illinois
■ Behaviour	Manual shopper · Fall / Winter concentration
■ Payment	Credit Card / Venmo
■ Shipping	Express or 2-Day Shipping preferred

MARKETING ACTION

Plug this exact demographic and geographic matrix into **Meta (Facebook / Instagram)** and **Google Ads** to build Lookalike Audiences. Stop running generic *'15% Off Your First Order'* ads. Instead, run targeted Fall/Winter campaigns to **30–45-year-old women in AZ and TN**, highlighting premium product quality and lightning-fast 2-Day Shipping.

■ THE RISK Narrowing top-of-funnel ad targeting to this demographic will likely cause a short-term drop in overall website traffic and daily acquisition volume.	↔ THE TRADE-OFF We are trading vanity metrics (high traffic, low conversion, thin margins) for profitability. CAC may initially spike, but ROAS and LTV will drastically outpace it.
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TARGET SEGMENTS — WHO TO SUNSET

SEGMENT	CRITERIA
Segment A — Product / Tier	Platinum customers buying Clothing Gold customers buying Accessories and Footwear
Segment B — Geographic	Customers in Subsidised Scale states: Nevada, Missouri, Arkansas

DATA JUSTIFICATION

Query 8 proved these segments have extremely high product satisfaction rates (often **>80%**) despite high promo dependency. Nevada and Missouri generate high overall LTVs. Because they love the physical product, they are habitually using coupons simply because the brand has **trained them to** — not because they are unwilling to pay full price.

TRIGGER & ROLLOUT TIMELINE

Trigger: The sunset sequence initiates the moment a customer in these segments makes their **3rd historical purchase** (proving category adoption).

PHASE	TIMING	ACTION
1 — Step-Down	Months 1–2	Reduce discount depth from 20% → 10%
2 — Value Swap	Months 3–4	Replace % discounts with free Express Shipping perks

METRICS TO TRACK

METRIC	WHAT TO WATCH
90-Day Repurchase Rate (Primary)	Ensure volume does not plummet post-sunset
Avg. Margin Per User — AMPU (Secondary)	Monitor unit profitability improvement over time

■ THE RISK

Taking coupons away from Platinum and Gold customers will almost certainly cause vocal pushback and CS complaints. Expect a temporary dip in repeat purchase frequency.

↔ THE TRADE-OFF

We are trading purchase frequency for unit profitability. By capturing the \$1.51M currently lost to top-tier discounts, the brand can afford a slight volume dip while remaining far more profitable overall.

THE STRATEGY

Tenure is the **ultimate predictor of value**. Once a customer crosses the **~30 prior-purchase threshold**, their lifetime value skyrockets into the **\$2,400 – \$2,700+** range. The highest LTV organic cohorts overwhelmingly rely on Express or 2-Day Shipping — making shipping perks a powerful, low-cost loyalty lever.

GAMIFIED MILESTONE TRACKER

Create a visible **Milestone Tracker** in the user profile dashboard that gamifies the journey to 30 purchases:

MILESTONE	REWARD UNLOCKED	IMPACT
10 Purchases	Free Standard Shipping (permanent)	Reduces friction, drives repeat
30 Purchases	Free 2-Day Express Shipping (permanent)	Cements loyalist habit · LTV \$2,400–\$2,700+
■ THE RISK The brand will absorb higher logistical costs by subsidising Express fulfilment for heavy buyers — an ongoing operational expense.		↔ THE TRADE-OFF It is vastly cheaper to absorb a \$12 expedited shipping fee for a guaranteed \$2,500 LTV organic loyalist than to surrender 20% of their cart value on every single order via a promo code.